CB monthly update - Vietnam

Feb 2025

CB monthly meeting agenda

1. **Overall**
   a. CB OKR (Lisa)
   b. CB Topline & P&L (Lisa)
   c. CB Competitor Intelligence (Hai)

2. **Commercial**
   a. [For update] SCS (Chelsey)
   b. [For update] Lovito (Vega)
   c. [For update] KR (Chi)
   d. [For update] VNSIP (Hoa)

3. **Programs/Others**
   a. [For update] MP LFF (Eric)
   b. [For update] 3PF Compliance Follow-up (Eric)
   c. [For discussion] VNSIP Direct Sale (Hoa)
   d. [For update] VN Tax Summary (Lisa)
   e. [For update] UST KK integration progress and 2025 Outlook (Nhung/Lisa)

Follow up items from last meeting

Follow-ups from last meeting

No.	Topic	Action Items	PIC	ETA	Update
1	CB 2025 Plan	- Sync up with local BI team about 2025 budget and P&L plan for CB as part of monthly budget review - Local BI to own full CB target/budgeting projection to improve RR accuracy	Kenny/Lisa	10 Feb	On track for local BI to fully take over from 10th Feb
2	VN 3PF 2025 Business Direction	- Aligned to convert the model asap following end-of-March timeline as the hard cut-off - Team to design checklist and start follow-up actions according to sellers' preferences	Eric	24 Jan	Shared action plan and follow-up checklist with KR-CN 3PF PIC, seller comms completed
		- Fin/Legal team to align 3PF compliant payment process	Ms. Giang/Eric	13 Feb	Aligned, see slide 23 for details
3	KRCB Official WH	- Short term direction: sellers to go with 3PF model (white-channel) - Long term direction: sellers to convert to local FBS business if they localise	Eric/Joanne	-	-
4	Lovito Affiliate	- To deep dive Lovito Aff commission/CR, then help source and connect the right fashion affiliates for Lovito	Siqin/Bin	24 Jan	Pending Lovito team affiliate performance analysis and commercial/investment plan to align resources with VNCB team (ETA: 19 Feb)
5	VNSIP Direct Selling	- To review E2E seller requirements / direct selling process and payment flow	Hoa/Nicholas	7 Feb	Have heads-up with Finance, SPX and Product teams to sync-up on the program launch. See slide 25 for details

Topic 1: Overall CB budget/ FP&A update

VNCB OKR - All metrics on track to hit Feb target

Market	CB OKR	Jan-25	Feb-25	Feb-25	MTD Actual
		Actual	Actual	Target	vs. Target%
[VN]	CB ADG as % of SHP	8.3%	8.2%	8.5%	95.9%
	CB ADO as % of SHP	17.0%	17.7%	15.7%	112.3%
	CB ADG share in SEA+TW (TTS + LZD)	-	-	68.5%	-
	CB EBITDA as % CB GMV	-2.3%	-2.7%	-4.4%	62.7%
	LS ADG as % SEA+TW CB	8.6%	7.7%	6.9%	111.0%
	Video ADG as % SEA+TW CB	10.6%	10.5%	9.8%	107.4%
	LS ADO as % SEA+TW CB	7.1%	5.7%	5.3%	107.1%
	Video ADO as % SEA+TW CB	11.6%	10.9%	10.8%	100.8%
	CB average BWT	5.77	6.93	6.44	107.7%
	CPO for SEA+TW	0.85	0.83	0.85	97.4%
	Same Day shipout %	77.8%	73.8%	70.4%	104.9%
	XDD + NDD coverage %	10.6%	7.9%	7.0%	113.2%
	Ship from Local ADO% of all CB and CN Managed CNLS Seller	14.7%	16.8%	13.1%	128.2%
	% net price competitiveness vs TTS	62.8%	-	40.0%	-
	% Bidding winning SKU ADO Coverage	6.0%	6.10%	5.6%	108.2%
	CB SCS + Lovito ADO% of CB ADO	8.1%	9.9%	6.7%	149.3%
	CB SCS Shop P&L	-$864,873	-$107,573	-$682,275	15.8%
	Lovito Shop P&L	-$89,352	-$24,090	-$70,416	34.2%

**MTD data as of 16 Feb*

Key Highlights:

- CB ADG% contribution to platform slightly behind target due to (1) platform over target from high demand post LNY and PRM direction focused on high ABS orders to overperform in Feb & hit Q1 target (2) ABS is slightly behind target as CB ABS is increasing after VAT price mark-up from 14 Feb only
- Ship from Local ADO% RR 128% mainly due to (1) top Lifestyle sellers back to school season boost, especially stationary (2) strong push from top CNLS GGP to expand in VN market

VNCB Topline & P&L - Feb'25 CB MP PnL target at -$2.0M with total SLS PnL at $2.9M and adjusted PnL at $0.1M

		Jan 2025	Feb 2025				Mar 2025
		Actual	Projection	Target	RR	MoM	Target *
VNCB	CB Gross ADO	718,174	689,646	680,435	101%	-4.0%	730,895
	CB ADO%	17.1%	15.8%	15.7%	101%	-1.3%	16.0%
	CB ADGMV($)	2,881,877	2,938,484	2,919,803	101%	2.0%	3,053,101
	CB ADGMV(%)	8.4%	8.1%	8.5%	95%	-0.3%	9.0%
	ABS($)	4.0	4.3	4.3	99%	6.2%	4.2
MP P&L	Revenue ($)	13,419,042	12,061,889	11,449,696	105%	-10.1%	13,725,619
	PRM ($)	14,528,226	13,040,992	13,066,325	100%	-10.2%	14,750,522
	PC2 ($)	-1,360,196	-1,375,845	-2,010,863	132%	-1.2%	2,192,465
	PC2 (%)	-1.5%	-1.7%	-2.5%	132%	-0.1%	2.3%
	Take Rate %	15.0%	14.7%	14.0%	105%	-0.4%	14.5%
	CIR %	16.3%	15.9%	16.0%	99%	-0.4%	15.6%
Lovito	Lovito ADO	3,379	3,425	2,522	136%	1.4%	2,523
	Lovito ADGMV($)	16,511	14,770	10,087	146%	-10.5%	9,869
	Lovito Standalone P&L ($)	-36,101	-62,698	-70,416	111%	-73.7%	-62,581
SCS	SCS ADO	54,744	70,529	42,737	165%	28.8%	48,535
	SCS ADGMV ($$)	99,713	139,672	81,200	172%	40.1%	98,455
	SCS Standalone P&L ($)	-426,181	-390,818	-682,275	143%	8.3%	-350,567
SLS	SLS P&L ($)	4,246,422	3,140,007	2,892,572	109%	-26.1%	3,465,147
	SLS Profit/Outbound Order	$0.27	$0.24	$0.22	108%	-14.3%	$0.22
*SLS P&L%: SLS P&L/Rev							
VNCB Total P&L		2,423,943	1,310,645	129,019	916%	-45.9%	15,570,884
		1		2			

CB P&L update:

1. **Jan'24 CB PnL actual recorded at $2.4M,** with CB MP PC2 at -$1.3M, Lovito at -$36.1K, SCS at -$0.4M and SLS $4.2M.
2. **Feb'25 CB PnL target at $0.1M** driven by SLS revenue drop on CNY period.

VNCB Competitor - Overall VNCB SHP/TT ADO gap drop to 1.5x in Jan'25 due to order gap from SHP order loss caused by the UST KK SLS integration

VNCB SHP/TTS Overview

		Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25
CB ADO	SHP CB ADO (K)	753	725	749	750	772	870	718
	TTS CB ADO (K)	232	287	325	377	425	496	486
	SHP/TTS ADO Multiple	**3.2**	**2.5**	**2.3**	**2.0**	**1.8**	1 **1.8**	**1.5**
%CB ADO	%SHP CB ADO	*20.5%*	*19.2%*	*19.3%*	*19.4%*	*18.9%*	*19.1%*	*17.0%*
	%TTS CB ADO	*9.1%*	*10.1%*	*10.7%*	*10.6%*	*11.1%*	*11.0%*	*11.6%*

		Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25
CB ADG	SHP CB ADG (K)	2,545	2,671	2,836	2,699	3,031	3,366	2,883
	TTS CB ADG (K)	792	986	1,142	1,275	1,523	1,827	1,884
	SHP/TTS ADG Multiple	**3.2**	**2.7**	**2.5**	**2.1**	**2.0**	**1.8**	**1.5**
%CB ADG	%SHP CB ADG	*9.5%*	*9.2%*	*8.7%*	*9.0%*	*9.0%*	*9.3%*	*8.3%*
	%TTS CB ADG	*5.1%*	*5.6%*	*6.2%*	*6.3%*	*6.7%*	*6.9%*	*7.5%*

Key Highlights:

1 Overall, SHP/TTS ADO drop to 1.5x in Jan'25, due to:

- SHP CB experienced a significant drop of 17.4% MoM, driven by KK considerably decrease (ADO dropped 80.0K and accounted for 52.6% of CB decrease) during the integrated progress, while TTS CB only declined by 2% MoM.

Topic 2a: Commercial - SCS

Topline & PnL - SCS: Shop ADO/ADG/P&L exceed target and grow MoM due to non-stop operation during CNY and self-channel optimization; LFF ADO/Contribution to shop increase MoM for better BWT

1

		Jan 24	Feb 25			
	metrics	Actual	Projection	Budget Target	RR	MoM
VN CB SCS	ADO	54,744	70,529	42,737	165%	+29%
	ADGMV	$99,713	$139,672	$81,200	172%	+40%
	ABS	$1.82	$1.98	$1.90	104%	+9%
	Seller PC3	$299,112	$405,624	$114,171	+$291,453	+$106,512
	Shop P&L	-$265,354	-$390,818	-$682,276	+$291,458	-$125,464

2

VN CB SCS LFF	Feb MTD as of 02.16	M-1	MoM
LFF ADO	25,654	18,294	+40%
LFF ADO contribution % to shop	34.4%	33.4%	+1.0%

Key Highlight:

1 **ADO/ADGMV/Seller PC3/Shop P&L all exceed target, and grow MoM, mainly due to:**

- **Non-stop operation during CNY:** so that CB SCS captured some share from other CB sellers
- **Self-channel optimization & more investment:**
  - **Livestream:** Optimized listing selection for livestreaming to improve livestreamer efficiency
  - **Video:** Increased daily video # from ~10 in Jan to ~40 in Feb using AI tool; Improve video quality & CR by optimizing first 3 seconds
  - **Affiliate:** Aligned with VN AMS team to roll out Free Sample Program to top affiliate livestreamers starting from March
- **Next step:** Aligned with CB team on additional Livestream PRM & exposure to counter Tax uplift; Details to be further aligned with CB team

Note: Shop P&L MoM slightly drops due to more SG&A allocated to VN SCS (due to VN SCS ADO % improved within SCS overall)

2 **LFF ADO and contribution % to shop increased MoM for better BWT**

- NNWH BWT ~1 days faster* than CN WH

* CB SCS: BWT ~4.9D from CNWH, and ~4.0D from NNWH

Topic 2b: Commercial - Lovito

Topline & PnL - Lovito: Both ADO and ADG exceeds target because more paid ads and CPAS invested while other sellers were on the CNY vacation and brought in more efficient traffic growth

		Jan 25	Feb 25					Mar 25
	metrics	Actual	Projection	Target		RR	MoM	Target
VN Lovito	ADO	3,379	3,137	2,522	1	124%	2 -7%	2,523
	ADGMV	16,511	13,970	10,087		138%	-15%	9,869
	ABS	4.9	4.5	4.0		111%	-9%	3.91
	Seller PC3	**47.0 k**	**32.5 k**	**30.0k**		**2.4k**	**(14.5k)**	**26.2k**
	Standalone P&L	**(6,727)**	**(68.0 k)**	**(70.4k)**		**2.4k**	**(61.3k)**	**(62.6k)**

Key Highlights:

1 **Feb target:** ADO and ADG exceeds target because we invested more in paid ads and cpas while other sellers were on the CNY vacation and brought in more efficient traffic increase.

2 **Feb ADO and ADG:** ADO-7% drop MOM due to the decline in buyer demand after Tet in February especially seasonal trends of Winter assortment. Meanwhile, the 10% tax increase starts on the Feb.14th.
ADG -15% drop MOM due to more mini spike day this month, which typically has a higher share of low price order.

3. **Next step:** Will discuss with CB team on the strategies for growing ado after the Tax impact.

Topic 2c: Commercial - KR CB

Commercial - KR CB: Feb MTD ADO 14.9K, +10% MoM with strong uplift in BAU during Tet period for having no shop in vacation mode

	Performance Summary	Dec - 2024	Jan - 2025	Feb - 2025
Business Performance	1 KRCB Gross ADO	17,698	13,613	14,956
	KRCB ADO%	0.4%	0.3%	0.3%
	KRCB ADGMV	196,557	153,539	185,117
	KRCB ADGMV%	0.5%	0.4%	0.5%
	KRCB MP ABS	11.1	11.3	12.4
Revenue	**Revenue (monthly)**	**475,036**	**352,454**	**417,331**
	Take Rate %	**18.6%**	**17.7%**	**17.3%**
	Commission Fee%	2.8%	2.8%	2.8%
	Service Fee%	5.5%	5.8%	5.6%
	Handling Fee%	3.8%	3.7%	3.7%
	Net Paid Ads%	4.3%	4.0%	3.1%
	Marketing Packages%	2.1%	1.3%	2.0%
Cost	**PRM (monthly)**	487,092	319,015	296,374
	PRM (monthly) exclude Gov fund	**414,995**	**281,945**	**296,374**
	CIR %	19.1%	16.0%	12.3%
	CIR % exclude Gov fund	16.2%	14.1%	12.3%
	Item Rebate%	1.2%	0.9%	0.0%
	Voucher Rebate%	14.1%	11.6%	9.1%
	Logistics Rebate%	3.7%	3.5%	3.2%
	Coins%	0.0%	0.0%	0.0%
KR Gov Fund	**Gov_fund**	72,097	37,070	0
	rebate_cost%	23.0%	20.4%	0.0%
	voucher_cost%	77.0%	79.6%	0.0%
Profitabili exclude Gov Fund	2 **PC1% exclude gov fund**	2.3%	3.5%	5.0%
	PC2% exclude gov fund	1.7%	2.9%	4.5%

Key highlights:

Jan Performance:

- **ADO achieves 13.6K, -23% MoM due to**
  1 ○ Low performance on [1] Spike 15.1, decreases -44% vs 12.12, and [2] BAU decreases -30% vs Dec for having low performance in the second half of Jan with the impact of Tet holidays
- **PC1 improves to 3.5% due to**
  2 ○ Low PRM in voucher, mainly coming from less PRM in Top KOL LS

Feb Performance:

- **ADO achieves 14.8K, +10% MoM due to**
  1 ○ High performance in BAU, 1.8x vs Jan thanks to being competitive during Tet holiday period with no shop in vacation mode
- **PC1 improves to 5.0% due to**
  2 ○ Increased MKT package investment, while maintaining PRM the same as Jan

KRCB Initiatives Highlights:

- **New Product Launching 2025:**
  - **Key Changes:**
    - (1) Collaborate with BPNS New product package to offer sellers free/paid options to support brand product launch
    - (2) Collaborate with local Beauty to maximize program visibility and performance
  - **Target:** 4 brands participate/month

Topic 2d: Commercial - VNSIP

Commercial - VNSIP: Feb MTD landed at 11.6K ADO (81% target), MoM -38%, ABS $12.8. Combined P&L was positive at +8.2% with a target of 12.1% in Mar

MTD Feb'25 performance

	Feb'25	%Target	M-1 MoM	
ADO	**11,625**	**81%**	**-38%**	1
MY	5,647	73%	-47%	
SG	2,121	96%	-30%	
PH	1,854	80%	-30%	
TW	346	98%	-10%	
TH	1,657	93%	-21%	
ADG	**$149,047**	**76%**	**-30%**	
MY	$61,176	75%	-39%	
SG	$35,366	74%	-29%	
PH	$23,599	91%	-21%	
TW	$7,447	95%	-5%	
TH	$21,458	67%	-20%	
ABS	**12.8**	**94%**	**12%**	1
MY	10.8	102%	15%	
SG	16.7	77%	1%	
PH	12.7	114%	13%	
TW	21.5	97%	6%	
TH	12.9	72%	1%	
Selling seller	1 **18,799**		**-9%**	
MY	10,277		-12%	
SG	8,153		-12%	
PH	3,163		-9%	
TW	3,888		-3%	
TH	1,415		-7%	

VNSIP P&L Feb'25 actual & forecast

		Actual Jan-25	MTD Feb-25	Forecast Mar-25	Forecast Apr-25
SPVN MP P&L					
Revenue	Platform Fees	$365,504	$166,361	$316,334	$326,132
Costs	Platform PRM + SIP Subsidy	-$486,086	-$166,361	$0	$0
	PC2	-$120,582	$0	$316,334	$326,132
VN SPX P&L					
Revenue	p_bpsf / order	$287,456	$136,484	$293,492	$302,028
Costs	spx costs / order	$91,002	$43,208	$100,396	$103,315
	SPX Margin	$196,454	$93,276	$193,097	$198,712
VNSIP Standalone P&L					
Revenue	Markup	$755,451	$387,392	$1,413,135	$1,454,232
	Subsidy + SLS Comp	$485,234	$189,194	$0	$0
Costs	Opex Costs	-$194,091	-$72,815	-$194,258	-$199,907
	Overseas PRM	-$330,275	-$84,957	-$672,540	-$692,099
	Platform Costs	-$584,664	-$308,387	-$534,242	-$549,779
	PC2 after vat	$94,862	$81,599	$0	$0
	Total P Combined	$170,734 3.8%	$174,875 8.2%	$509,431 12.1%	$524,844 12.1%

2

Note: P&L data is preliminary & will be updated by EOM

1 **VN SIP Feb: All lanes with MTD ADO 11.6K (81% target, MoM -38%), ABS $12.8. Selling sellers reached 18.8K selling sellers (-9% MoM)**

- All lanes experienced tremendous drop in ADO due to sellers being on HM during Lunar New Year, mainly driven by MY due to traffic drop.
- Key actions to close the gap for SIP: (1) ramp up MKT budget, (2) Push aggressively on seller investment & deal hunting

2 **VN SIP P&L Feb: Combined P-site P&L was positive at 8.2%.**

Topic 3a: MP LFF

VN MP LFF - Feb MTD hit 60K ADO with 142% RR vs. target, MoM -8%

		Dec'24	Jan'25	MTD Feb'25	MTD RR	MoM
Absolute	**LFF ADO (incl. seller own WH)**	**49,254**	**55,046**	**59,917**	**142%**	**-8%**
	LFF ADO (excl. seller own WH)	**40,306**	**44,070**	**50,016**	**152%**	**-3%**
	- SBS ADO	**20,286**	**19,946**	**23,007**	**141%**	**-7%**
	- Existing SKU ADO	15,391	14,333	15,700	149%	-13%
	- New SKU ADO	4,895	5,613	7,307	127%	7%
	- Total New SKU # (accumulative)	2,290	3,205	3,086	101%	2%
	- New SKU efficiency	2.1	1.8	2.4	125%	9%
	- 3PF ADO (Qualified + Unqualified)	**20,020**	**24,124**	**27,008**	**163%**	**0%**
	- Qualified 3PF ADO	1,659	2,102	1,523	-	-36%
	- Unqualified 3PF ADO	18,361	22,022	25,485	-	4%
	- Seller Own Warehouse	**8,948**	**10,976**	**9,901**	**107%**	**-24%**
% to CB MP	**CB MP ADO**	**803,460**	**660,246**	**690,729**	**109%**	**-23%**
	LFF (excl seller own WH) ADO % to CB MP	**5.0%**	**6.7%**	**7.2%**	**139%**	**24%**
	SBS ADO % to CB MP	**2.5%**	**3.0%**	**3.3%**	**129%**	**18%**

Data updated: 13th Feb

Key Highlights:

- As of MTD 13th Feb, VN MP LFF hit **60K** ADO with **142%** RR vs. Target - 8% MoM dip but still outpacing VNCB for strong ADO% at **7.2%**.
- Continue to monitor seller programs and budget RR to ensure a **120%** EOM landing as projected.

Topic 3b: 3PF Compliance Follow-up

3PF Compliance Timeline | In progress for CB 3PF to be 100% compliant from 31st Mar 2025

15 Jan | 18 Feb | 24 Feb | 03 Mar | 31 Mar

03 Mar: Pilot

31 Mar: Go live

Align with management on action plan

Seller communications

- **KR/CN** released official seller comms & monitor seller sentiments

Seller transition option sign-off

- **KR/CN** to follow up with sellers on transition decision
- **VNCB** to monitor overall seller decisions and assess business impacts

Pilot new payment flow & 100% go live

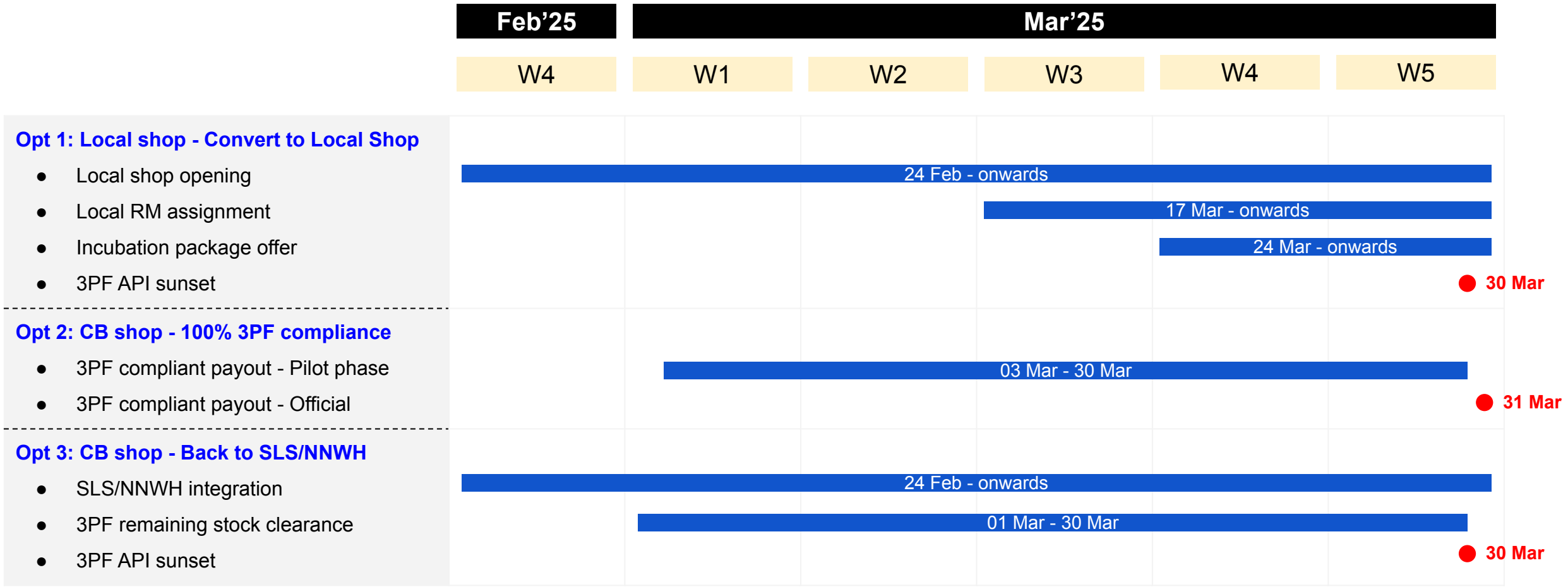
- **VNCB** to monitor execution of each option
- **KR/CN** to coordinate with VNCB for option execution with sellers
- **CB Ops** to execute new 3PF payout flow as aligned with **VN Fin**

In Progress

[Back up] Recap VN 3PF Final Direction | Offer 03 options for existing 3PF CB sellers to remain compliant on Shopee VN from 31st Mar 2025

Data point: Dec'24, #sellers and ADO are MECE	**Option 1** **Local Shop, convert to CNLS**	**Option 2** **CB Shop, 100% 3PF compliance**	**Option 3** **CB Shop, back to NNWH/SLS**
Seller action	• **3PF CB seller to convert to <u>local</u> seller and become CNLS**	• **3PF CB sellers remain as-is** • **Additional requirements:** Custom Declarations and supporting documents for payment	• 3PF CB sellers revert back to NNWH or SLS
#Est sellers (% CN/KR 3PF sellers)	• CN: 166/1188 (14%) • KR: 1/17 (6%)	• CN: 302/1188 (25%) • KR: 14/17 (82%)	• CN: 363/1188 (31%) • KR: 2/17 (12%)
#Est commercial impacts (% CN/KR 3PF ADO)	• CN: 9K ADO (33%) • KR: 11 ADO (1%)	• CN: 7.2K ADO (26%) • KR: 1.5K ADO (95%)	• CN: 7.2K ADO (26%) • KR: 62 ADO (4%)
Timeline	• Seller comm: Jan >> Soft cut-off (to remind sellers last round): mid-Feb >> **Hard cut-off (to freeze shops): End Mar**		
Help needed	• **CN-KR 3PF:** to introduce vendors for local entity, collect seller information for local shop opening • **Local Ops:** to support shop opening for sellers and Mall onboarding	• **CB/VN Fin:** to align weekly payout SOP • **CN-KR 3PF:** to monitor seller compliance	• **CN-KR 3PF/Reg CB Ops:** to mass support sellers on back-end for model converting

Actions Summary for 3PF Transition | Non-compliant 3PF sellers have to arrange for local shop conversion and SLS/NNWH conversion from next week



[Back up] 3PF Compliant Payout Process for Option 2 | Maintain weekly cycle, separate 3PF transaction list from SLS list. Sellers to provide CD supporting docs for post-payout validation

Step	Action	ETA	PIC
1	CB Payment to send to VN Fin to request payout a list of transactions including: ● Non 3PF transaction list (cut-off data: W-1) ● 3PF transaction list (cut-off data: W-2) (*) *(*) 3PF transactions have a separate supporting docs with CD reference number for each transaction & one CD docs folder for all transactions* CB Payment to send 3PF transaction list (cut-off data: W-1) to KR-CN 3PF PIC for CD reference number mapping & CD docs uploading	**D+0 (Mon)**	CB Payment
2	KR-CN 3PF PIC to monitor CD reference number mapping & CD docs uploading from sellers for 3PF transaction list (cut-off data: W-1) and send back to CB Payment	**D+4 (Fri)**	KR-CN
3	VN Fin to proceed with Local bank for payout release as requested by CB Payment	**D+1 (Tue)**	VN Fin/ Local bank
4	Local bank to validate CD after the payout	**D+4 (Fri)**	Local bank
5	VN Fin to send out unqualified transaction list from Local bank to CB Payment for additional docs submission	**D+4 (Fri)**	VN Fin
6	CB Payment to hold the next payout request for sellers who have unqualified transactions that have not been cleared yet, pending for sellers to submit additional documents to bank	**D+7 (next Mon)**	CB Payment

Topic 3c: VN Direct selling

Executive summary | VN Direct Selling allows sellers to manage overseas shops with full control via VN seller center, driving ADO growth and a surge in SPX volume

Overview	**The existing SIP model helps local sellers expand overseas but limits shop control and visibility**, restricting short and mid-tail sellers from reaching their full potential. → **Exploring the Direct Selling model to enable VN sellers to operate CB shops via the VN local seller center with full pricing and listing control**. Direct Selling addresses these pain points by giving sellers full control over their overseas business via pilot phases. Key differences from the SIP program include: ● **Commercial** ○ **Higher seller responsibility**: Sellers bear all costs and must invest in manpower, marketing, and operations. ○ **Better shop management** by individual sellers vs. SIP mass management (SKU efficiency, listing quality, CS service). ● **Logistic: Shorter 0.5day lead time** with SPX E2E 1-AWB design. ● **Pricing: more competitive pricing** without SIP markups. ● **Seller investment: Stronger branding & investment control**, sellers gain greater flexibility over their business strategy.
Estimation commercial impact	**Direct selling could lead VN Export ADO to 25K by the end of 2025, incremental 5.2K from the original projection (only SIP)** ● In term of VN Export P&L: A slight increase VNSIP P&L, with a larger increase in volume for SPX by EOY
Supporting processes to implement	● **Payment:** As VN does not use 3PP (Payoneer), the payment flow will be directly from SHP A-market to Shopee VN. ● **Performance management:** Existing VNSIP team to manage Direct selling alongside SIP business model, similar to MYSIP with buffering in headcount. ● **Marketing Resources:** Request support from the A-side Marketing team to drive the VN launch, highlighting key benefits such as commission waivers, traffic boosts, and marketing resources.

Note for VN side:
SHP A-market = SHP Affiliate Market (MY/SG/TH/PH/TW)
SHP P-market = SHP Primary Market (VN)

Overview | VN Direct Selling gives big local sellers better control over their shop operations and commercial push in destination markets

Exporter Selling Channel Overview	VN		MY	
	SIP	Direct selling (Today discussion)	SIP	Direct selling
Description / Timeline	SIP mirrors seller's VN shop to overseas markets, SHP teams and SIP system manage shop **Launched in 2021**	Local VN seller owns a CB shop in an overseas market, seller manages shop **Pilot from Jun'25** (VN-MY)	**Launched in 2019**	**Pilot from Mar'24** (MY-SG)
ADO Nov'24	**14.2K** (by EOY, est if we launch Direct selling)	**11K potential contingent to fully ramp up** (by EOY, est launch from Jul'25)	**22.2K**	**6.6K**
#Seller active	**250K**	**~19K sellers contingent to fully ramp up** (by EOY, est launch from Jul'25)	**158K**	**3.8K**
Commission fee	**18% in VN**	**19% in MY**		
Pricing and Listing	**No control** over final price or product listing (SIP system mark-up price and sync SKUs)	**Full control** of final price and product listing (Seller self-upload SKUs and adjust pricing)		
FD and RR	**Platform** has to bear all cost (fraud risk)	**Seller** has to bear all cost		
Operation system	**Missing full suite of seller centre modules,** only one module to view SIP performance	**Access full overseas seller centre modules** via VN local seller centre		
Receive payment	Seller Own Bank Account	Seller Own Bank Account		
Seller investment	Additional overseas orders at **no incremental cost/effort, low cost** to test market demand	**High investment** of manpower and marketing in traffic and operations		
Implications to sellers	More suitable with **long-tail and new sellers** • Another stream of revenue without extra investment/ knowledge • Easy market demand testing	More suitable with **short-tail and mid-tail sellers** • Higher SKU efficiency • Better branding and seller investment control • Manage their own CS		

Benefits of Direct Selling | Direct Selling has higher SKU efficiency and lower pricing, generating higher ADO during pilot. Sellers' pain points on lack of control fully addressed in Direct Selling

Lane level comparison (data as of Nov-24 full month)

Key segment	Metric	MYSG SIP	MYSG Direct selling
Commercial	# sellers	158,214	**3,878**
	# SKUs	8,477,079	**249,892**
	SKU effi	0.26%	**2.64%**
	# ADO	22,242	**6,606**
	ASP	30 SGD	**26 SGD**
Seller investment	% Paid ads Take rate	3.7%	**4.3%**
Logistic	Avg lead time	~8 days	**-0.5 days vs SIP** 1

Key seller pain points about SIP program (top SIP managed seller)

SIP's key seller pain point	%	Direct selling advantages
Uncompetitive price due to SIP markup	**80%**	More competitive pricing, seller can decide on smaller markup
Unable to optimize shop operation due to SIP mass management	**65%**	Directly handle shop operations
Reluctant to invest due to limited visibility and control of shops	**45%**	Full visibility and control of overseas shops
Unable to implement marketing strategies due to lack of control	**40%** 2	Full control of overseas shops

Highlights:

1. Direct selling achieves better SKU efficiency due to:
   - Competitive pricing: ASP of **$26** in Direct Selling vs. **$30** in SIP
   - Higher investment in Paid Ads: **4.3%** in Direct Selling vs. **3.7%** in SIP
   - Shorter lead time: SPX e2e 1-AWB design saves **0.3–0.5 days**
   - Better shop operations: **Individual sellers manage** listings and customer service more effectively than SIP's mass management
2. Moreover, a major pain point for top SIP sellers is the lack of control over their shop, resulting in low investment and suboptimal shop performance.

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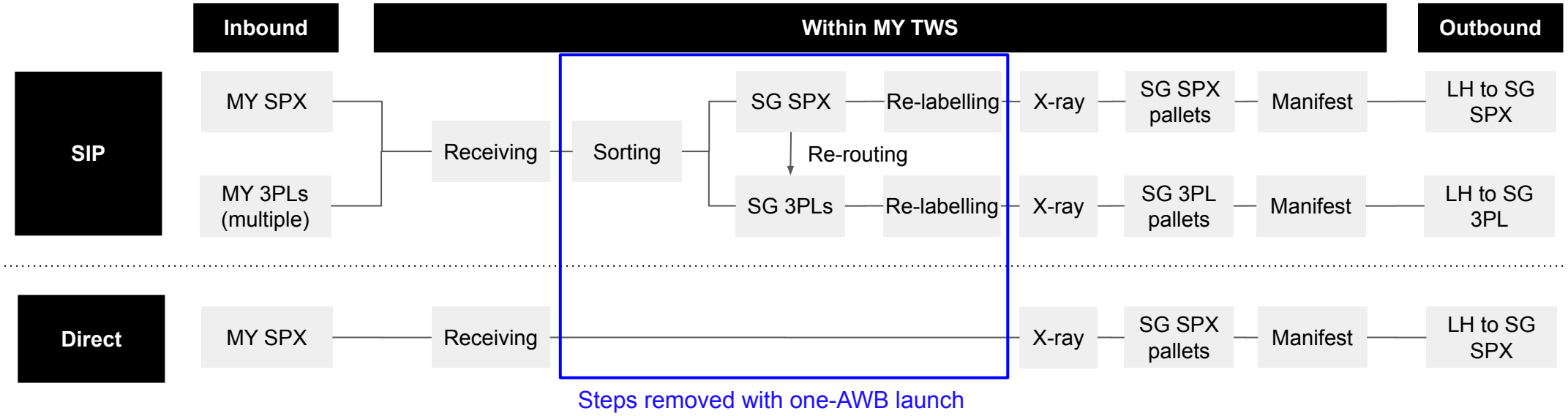
Back up | MYSG example: Direct selling has shorter BWT of 0.3-0.5 days than SIP, as one-AWB system skips TWS operations

MYSG MP Direct / SIP order logistics flow



Direct Selling Target | Launching Direct Selling to contribute incremental 5.3K ADO incremental by Dec'25, driving higher P&L profits and increased SPX volume in the long term

VN Overseas projection ADO between baseline vs. Direct selling combined 2025

2025 Projection	Jan	...Jun	Jul	Aug	Sep	Oct	Nov	Dec
SIP baseline	**18,119**	**16,440**	**16,615**	**17,032**	**17,838**	**18,302**	**20,172**	**20,317**
SIP new baseline (w Direct Selling)	18,119	16,196	15,540	14,065	13,899	13,442	14,231	14,222
SIP remaining + Direct selling Total	**18,119**	**16,261**	**15,894**	**15,291**	**16,541**	**18,358**	**22,467**	**25,606**
- ADO uplift - absolute	0	-179	-721	-1,741	-1,297	56	2,295	5,289
- ADO uplift - %	0%	-1%	-4%	-10%	-7%	0%	11%	26%
- % ADO of Direct selling shop	0%	0%	2%	8%	16%	27%	37%	44%

1

Direct selling launch

VN P&L between baseline vs. Direct selling combined by EOY

	Dec'25 baseline	Dec'25 w Direct Selling	Gap
SPVN MP P&L			
Revenue	$457,406	$320,184	-$137,222
Cost	-$618,500	-432,950	185,550
PC2	**-$161,094**	**-$112,766**	**$48,328**
VN SPX P&L			
Revenue	$372,106	$468,982	$96,876
Cost	$117,800	$148,469	$30,669
SPX Margin	**$254,306**	**$320,513**	**$66,207**
VNSIP Standalone P&L			
Cost	-$1,480,073	-$1,036,051	$444,022
Revenue	$1,607,462	$1,125,224	-$482,239
PC2	**$127,389**	**$89,172**	**-$38,217**
PC2 after VAT	**$126,398**	**$88,479**	**-$37,919**
Total P Combined	**$219,610**	**$296,226**	**$76,616**

2

Key assumption:

- Direct convert from SIP = SIP based projection * % SIP Conversion * Direct SKUs efficiency (= 2.2)
- Direct from new acquisition = 70% * total direct conversion from SIP
- *SIP conversion to Direct due to seller can only join 1 one program at the same time*
- *P&L rate based on Dec'24 performance*

Highlights:

1 Based on the original SIP projection, the number of VN overseas ADOs could reach **20.3K** by the end of the year.

- If we implement Direct Selling, the VN overseas ADOs may reach **25K**, an increase of **5.2K** compared to the original projection by EOY
- However, we anticipate a decline in SIP conversion to Direct Selling since sellers can only join one program at a time. Additionally, Direct Selling is more attractive to sellers, so we forecast a 30% loss in SIP participation.

- For SHP VN, after Direct selling launched, we expect a slight grow in VN Overseas P&L with a larger increase in volume for SPX though SIP drop due to conversion to Direct selling

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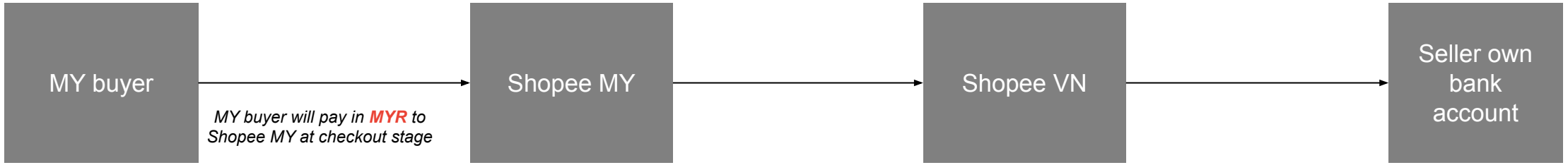
Supporting Processes - Payment | Since VN does not use 3PP (Payoneer), the payment flow will be directly from SHP A-market to Shopee VN

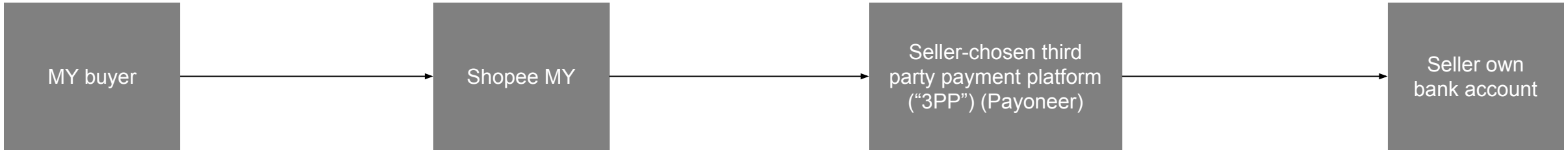
VNMY Direct payment flow - to escrow when MY buyer confirms receipt



#	Key challenges	Initial treatment direction	Next step
1	**E-commerce platforms will be required to withhold sellers' income tax on their behalf starting April 1st**	Shopee VN on behalf of Shopee MY to pay tax for sellers	**Update the product to include the ability to charge this fee to sellers**. Since this tax applies specifically to Vietnamese sellers, it cannot be charged by the MY side
2	**Determining the responsible party for issuing invoices (SHP A-market or SHP VN)**	Implement VN Fin's proposal for Shopee MY to handle invoice issuance	TBU

Back up | Payment version with 3PP (Payoneer) involved: Direct selling will be using 3PP payment service to escrow to seller's bank account, same as other CB sellers

VNMY Direct payment flow - to escrow when MY buyer confirms receipt

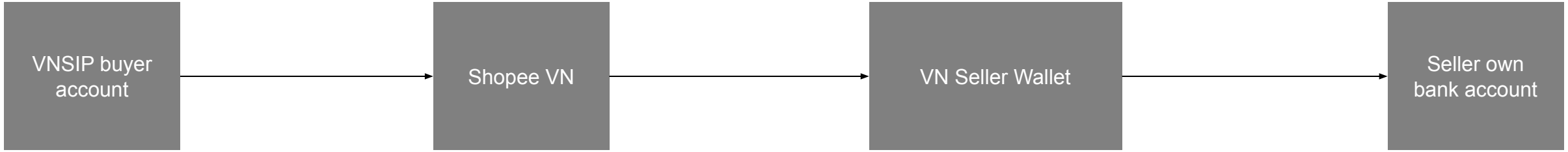


*MY buyer will pay in **MYR** to Shopee MY at checkout stage*

*Shopee MY will wire the seller escrow amount in **USD** to seller's 3PP account*

*Seller will be able to withdraw the balance in 3PP **USD** to seller's own bank account*

VNSIP payment flow - to escrow when VNSIP warehouse receive the parcel



*VNSIP Dummy buyer account will pay in **VND** to Shopee VN at checkout stage*

*Shopee VN will wire the seller escrow amount in **VND** to seller wallet*

*Seller will be able to withdraw the balance in **VND** to seller's own bank account*

Supporting Processes - Performance Management | Existing VNSIP team to manage Direct selling alongside SIP business model, similar to MYSIP

	MY *~6K active direct selling sellers*	ID *Currently on hold to wait for new seller center*	VN
SMT management	**10 headcounts** • SMTs: Educate/Nurture/Grow: 3 headcounts *(while SIP only 1 headcount)* • Acquisition: Acquire/Onboard sellers: 5 headcounts • Operations: Account creation/ Email invitation: 4 headcounts	**Local RMs** • Not included in RM KPI, no incentives. • Task management team is coordinator in assigning tasks to local RM	Propose that **SIP takes charge in the short term**, with **a scalable phase to hire additional personnel** to manage the program effectively
MKT resources support **Comms waiver** **MKT visibility** **PRM support**	**Yes**		**Discuss with MY/SG A-market PIC (first two lanes launched) regarding additional resources and visibility support** 1. Extra resource and visibility support for direct selling sellers (benchmark MY-SG) 2. Extra PRM estimated CIR for full year 2025

Roll-out plan | Target to roll-out VNMY Direct Selling from Jun'25, contingent on system readiness

Export market	Global SC go-live	Overseas shop	2025										
			Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
VN	May-25	VNMY					Live						
		VNSG											
		VNPH											
		VNTH											
		VNTW											

Global Seller Center go-live

Additional lane-specific configuration vs 1st lane

Business launch

Highlights

Target to roll out Global Seller Center for VN in May

Preparation time needed:

- 4-weeks to configure each lane in the same Global SC after first lane launch
- Business launch 2 weeks after system go-live

Key contingencies:

- Global SC roll-out on-time as planned
- One-AWB logistics channel ready together with Global SC launch

Topic 3d: VN Tax Summary

Overview Policy Update | There are 2 regulatory change implementation: (1) VAT 8% - 10% on all CB orders starting 18 Feb (2) WHT 1% for Business household/individual sellers

CB VAT	&	Withholding tax
8% - 10% by CAT level	**Tax rate**	**1%** flat
18 Feb 2025	**Effective date**	**1 April 2025**
All CB sellers Estimated 8% CB ADO drop	**Impacted sellers**	**All platform sellers except corporate type** Estimated 28% CB sellers impacted
Paid at custom SLS vendors prepaid at custom. SHP deducts VAT via STS adjustment	**How to pay tax?**	**Withhold by platform** SHP system withhold tax from seller revenue
System mark-up SHP responsible	**Item mark-up**	**Seller self mark-up** Seller responsible
Officially released Price mark-up completed 14 Feb Tax feature officially released 18 Feb to auto deduct VAT from seller revenue	**Current status**	**Ongoing product solution development** Product solution to auto withhold by seller type Seller comm prep required to collect seller infor

Topic 3e: UST KK integration progress and 2025 Outlook

UST KK Integration Review and 2025 Plan | Executive summary

UST KK Integration PFM

- **Commercial Impact**
  - ADO & ADG are decreased significantly in -65% ADO and -55% ADG after full integration but ABS increased 30%
  - UST KK contribution to VNCB is 7% in ADO (-5% after integration) and 8% in ADG (-6% after integration)
- **PnL Impact:** PC2 is improved and reach -0.6% (+1.2% after integration) and better than VNCB (exclude KK)
- **UX Impact:** Failed Delivery/RR: FD% down from 5.4% to 5%. RR% increase from 2.6 % to 3%
- **Pricing & assortment impact:**
  - More than 2M SKUs have been unlisted after integration due to KK internal restructuring, losing 15% ADO & 19% ADG
  - Existing SKUs decreased significantly 59% ADO & 44% ADG, especially increased price SKUs
- **KK's advantages after integration:**
  - **Assortment:** %Sellability of existing SKUs is over 9% for all clusters, ~2.x vs both CB & Local thanks to better products, pricing, and market positioning
  - **Pricing:** KK has the lower average price than CB & Local & is also strongest in low price assortment (lower than $1)

Opportunities and Plan

- **Q1 2025 Action: Leverage and pitch KK to join VNCB programs & initiatives because KK PFM is on par with overall VNCB (exclude KK)**
  - VNCB Program (Mall Upsize/ Brand Program): focus Mall KK seller
  - Content push (Video/ Livestream): increase performance contribution from content for KK sellers
- If KK PFM is better than overall VNCB, will design UST KK Barter program to increase commercial PFM & seller investment

Commercial & PnL Impact | Performance decreased significantly after integration -62% ADO & -59% ADG, more than projected. PnL increased 1.2% after integration but still negative (-0.6%)

	Metrics	Unit	Before Integration(*)		After Integration(**)		Change		RR PFM	
			KK	VNCB (excl KK)	KK	VNCB (excl KK)	KK	VNCB (excl KK)	Target (***)	Target RR
1	**Commercial**									
	ADO	#	142,583	629,361	49,847	584,786	65.0%▼	7.1%▼	65,866	75.7%
	ADG	$	$562,711	$2,468,988	$255,149	$2,287,257	54.7%▼	7.4%▼	$381,751	66.8%
	ABS	$	$3.9	$3.9	$5.1	$3.9	29.7%▲	0.3%▼	$5.8	88.3%
	PnL									
	PRM	$	87,939	450,503	27,355	382,473	68.9%▼	15.1%▼		
	Revenue	$	77,770	405,166	25,818	355,440	66.8%▼	12.3%▼		
	CIR	%	15.6%	18.2%	10.7%	16.7%	4.9%▼	1.5%▼		
	Take Rate	%	13.8%	16.4%	10.1%	15.5%	3.7%▼	0.9%▼		
2	**PC1**	%	-1.8%	-1.8%	-0.6%	-1.2%	1.2%▲	0.7%▲		
	PC2	%	-2.1%	-2.2%	-0.8%	-1.5%	1.3%▲	0.7%▲		

(*) Before integration: 1 - 30 Nov 2024 (30 days) *(**) After integration: 14 Jan - 12 Feb 2025 (30 days)* *(**) Projection: Avg Jan & Feb 2025 target*

Key Highlights:

1 **Commercial Impact**: KK ADO & ADG decreased significantly across all clusters (-65% ADO & -55% ADG), higher than our projection (-50% ADO & -23% ADG). ABS is improved 30% (~$5.1) and better than overall VNCB ($3.9)

- RR PFM: KK reached only 75% ADO & 66% ADG target. ABS reaches only 88% target

⇒ *This performance is also impacted by Lunar New Year Holiday off, CB team to review and adjust FY 2025 target by end of Feb 2025*

2 **PnL Performance:** KK PC2 is improved slightly but still negative at -0.6% PC2

⇒ *Overall KK PC2 is on par with VNCB, therefore to observe further in Q2 for dedicated push for KK if PC2 is better than VNCB*

Next Action:

- Push UST KK sellers same as VNCB sellers and leverage existing VNCB programs for KK

Pricing & Assortment Impact | >2M SKUs unlisted after integration due to KK internal restructuring, losing 15% ADO & 19% ADG. CN to have T2T meeting with KK next week on recovery

			Before Integration(*)				After Integration(**)				Change			
SKUs_tier	total_item_num	%item	ado	adg	abs	%sellability	ado	adg	abs	%sellability	ado	adg	abs	%sellability
Existing SKUs	661,642	19.3%	116,845	$431,989	$4	30.4%	47,629	$240,478	$5	16.3%	59.2%▼	44.3%▼	36.6%▲	14.1%▼
1 *Decreased price*	28,739	0.8%	6,726	$29,987	$4.5	26.1%	4,656	$26,718	$5.7	20.4%	30.8%▼	10.9%▼	28.7%▲	5.7%▼
Increased price	470,430	13.7%	109,854	$400,065	$3.6	30.7%	40,664	$198,360	$4.9	19.5%	63.0%▼	50.4%▼	33.9%▲	11.2%▼
Unchanged price	1,943	0.1%	265	$1,936	$7.3	21.3%	294	$2,169	$7.4	16.5%	11.2%▲	12.0%▲	0.7%▲	4.7%▼
Price = 0	17	0.0%	0	$1	$10.0	11.8%	0	$0	$5.0	11.8%	50.0%▼	74.7%▼	49.4%▼	0.0%—
2 *New SKUs*	160,513	4.7%	0	$0	$0.0	0.0%	2,015	$13,231	$6.6	6.2%	0.0%—	0.0%—	0.0%—	6.2%▲
Unlisted SKUs	2,769,165	80.7%	22,392	$119,270	$5	5.1%	1,983	$12,996	$7	0.6%	91.1%▼	89.1%▼	23.1%▲	4.4%▼
Total	**3,430,807**	**100%**	**139,237**	**551,259**	**$4.0**	**8.9%**	**49,612**	**253,473**	**$5.1**	**3.7%**	**64.4%▼**	**54.0%▼**	**29.0%▲**	**5.3%▼**

(*) Before integration: 1 - 30 Nov 2024 (30 days) *(**) After integration: 14 Jan - 12 Feb 2025 (30 days)*

Key Highlights:

1 **Existing SKUs decreased significantly 59% ADO & 44% ADG**, especially increased price SKUs (cover 14% in total #existing SKUs)

2 **More than 2M SKUs (~81% #item of KK) have been unlisted mostly due to KK internal restructuring**

→ Estimate lost 15% in ADO and 19% in ADG of KK, CN to have T2T meeting with KK next week on business next steps

→ Still push KK to upload & increase #new SKUs daily in order to monitor overall performance

Next Action:

- Push seller to join real time bidding/ price competitive program in order to increase SKUs visibility and %sellability in Mar 2025
- Push increasing #new SKUs (follow up trending/ best selling items) in order to recover overall performance after integration

[Back-up] KK VN Sourcing Advantage After Integration | KK maintains strong sellability than CB average for new and existing SKUs across key clusters

			Before Integration(*)			After Integration(*)			Change		
	Item	Cluster	KK	CB	Local	KK	CB	Local	KK	CB	Local
Existing SKUs	# Live SKUs	*ELHA*	57,547	4816707	21,123,050	50,298	8,013,364	25,713,435	12.6%▼	66.4%▲	21.7%▲
		Fashion	2,314,683	19680125	71,130,882	1,232,305	34,575,161	116,508,224	46.8%▼	75.7%▲	63.8%▲
		FMCG	252,562	4,645,782	36,487,224	114,704	8,202,366	69,404,018	54.6%▼	76.6%▲	90.2%▲
		Lifestyle	556,214	15,040,161	39,902,182	397,247	30,000,757	77,975,082	28.6%▼	99.5%▲	95.4%▲
		Total	**3,181,006**	**44,182,775**	**168,643,338**	**1,794,554**	**80,791,648**	**289,600,759**	43.6%▼	82.9%▲	71.7%▲
	%Selling SKUs	*ELHA*	16.7%	8.5%	2.9%	5.7%	6.8%	3.1%	11.0%▼	1.7%▼	0.2%▲
		Fashion	10.1%	4.5%	2.7%	9.1%	3.4%	2.4%	1.0%▼	1.1%▼	0.3%▼
		FMCG	12.0%	5.8%	5.6%	10.4%	3.8%	4.3%	1.6%▼	2.0%▼	1.3%▼
		Lifestyle	14.5%	3.9%	6.2%	9.1%	2.5%	4.5%	5.4%▼	1.4%▼	1.7%▼
		Total	**11.1%**	**4.9%**	**4.2%**	**9.1%**	**3.5%**	**3.5%**	2.0%▼	1.4%▼	0.7%▼
New SKUs in month	# New SKUs	*ELHA*	18,238	882,701	159,998	2,845	727,204	173,564	84.4%▼	17.6%▼	8.5%▲
		Fashion	913,128	3,754,390	611,475	66,988	3,798,528	512,841	92.7%▼	1.2%▲	16.1%▼
		FMCG	106,916	835,076	378,034	11,189	756,355	379,646	89.5%▼	9.4%▼	0.4%▲
		Lifestyle	179,409	4,002,829	506,569	21,435	4,787,399	601,905	88.1%▼	19.6%▲	18.8%▲
		Total	**1,217,691**	**9,474,996**	**1,656,076**	**102,457**	**10,069,486**	**1,667,956**	91.6%▼	6.3%▲	0.7%▲
	%Selling SKUs	*ELHA*	6.4%	2.3%	12.4%	0.9%	1.6%	8.1%	5.5%▼	0.7%▼	4.3%▼
		Fashion	5.2%	1.5%	18.4%	2.2%	0.8%	15.4%	3.0%▼	0.7%▼	3.0%▼
		FMCG	2.5%	1.9%	16.6%	7.8%	0.9%	11.6%	5.3%▲	1.0%▼	5.0%▼
		Lifestyle	3.9%	1.1%	13.5%	2.1%	0.5%	8.2%	1.8%▼	0.6%▼	5.3%▼
		Total	**4.8%**	**1.5%**	**15.9%**	**2.8%**	**0.7%**	**11.2%**	2.0%▼	0.8%▼	4.7%▼

(*) Before integration: 1 - 30 Nov 2024 (30 days) *(**) After integration: 14 Jan - 12 Feb 2025 (30 days)*

Key Highlight:

1 Existing SKUs

- %Sellability over 9% for all clusters, ~2.x vs both CB & Local thanks to better products, pricing, and market positioning

2 New SKUs

- #New items of KK decreased significantly 92% after integration because KK focus on price change instead of explore new SKUs
- %Sellability is ~ 2x higher than CB: Still gap vs Local potentially due to local sellers having better knowledge of local trends & faster delivery time

Next Action:

- **Existing SKUs:** Push KK to join VNCB program with good price in order increase % sellability
- **New SKUs:** Push KK keep increasing new SKUs monthly in order to recover performance

[Back-up] KK VN Pricing Advantage After Integration | Recap previous study 22.1% of KK top SKUs are unique. For overlapped SKUs, KK still has lowest price vs CB and Local after integration

Top 30 SKUs/ L2 Category Comparison*

Price Range	#SKUs	Unique%	Avg price gap before integration *)		Avg price gap after integration(**)	
			CB	Local	CB	Local
1. Less than $1	1266	19.8%	2.0x	4.8x	1.8x	3.8x
2. $1.0 - $2.0	811	13.8%	1.6x	2.9x	1.4x	2.3x
3. $2.1 - $4.0	913	23.2%	1.4x	3.2x	1.3x	2.5x
4. $4.1 - 6.0	592	22.3%	1.3x	2.7x	1.1x	2.1x
5. Above $6.0	617	26.4%	1.0x	1.6x	1.0x	1.3x
Grand Total	**4,199**	1 **22.1%**	**1.3x**	**2.3x**	2 **1.1x**	**1.8x**

(*) Before integration: 1 - 31 Nov 2024 (30 days) *(**) After integration: 14 Jan - 12 Feb 2025 (30 days)*

(*) **Comparison pool**: The top 30 KK items per L2 are compared to the same items in CB/ Local, with a common price range of roughly $1.6

Selected unique SKUs

- School & Office Equipment
- ADO: 221
- Price: 45k VND

- Bath & Body Care
- ADO: 140
- Price: 13.9k VND

- Small Household Appliances
- ADO: 81
- Price: 79k VND

- Crossbody & Shoulder Bags
- ADO: 40
- Price: 38k VND

Key Highlights

- KK demonstrated **key advantages in both assortment and pricing** vs both other CB and local sellers:

1 **Assortment**: 22.1% of items exclusive to KK (No matched items on SHP)

2 **Pricing**:
  - KK has the lower average price than CB & Local (CB price is higher than 1.1x & Local price is higher than 1.8x after integration)
  - KK is strongest in low price assortment (Less than $1) than CB/Local